2019, which was up 7.6 per cent over the previous quarter.

The burgeoning mobile handset market in India presents an attractive opportunity for manufacturers. Most of the global corporations are looking at India as a regional hub for manufacturing and sales, to cater not only to the Indian market but to the SAARC, the Middle East and African markets as well. The government of India's recent notification on Phased Manufacturing Programme (PMP) to promote indigenous manufacture of cellular handsets has provided a fresh impetus to this sector.

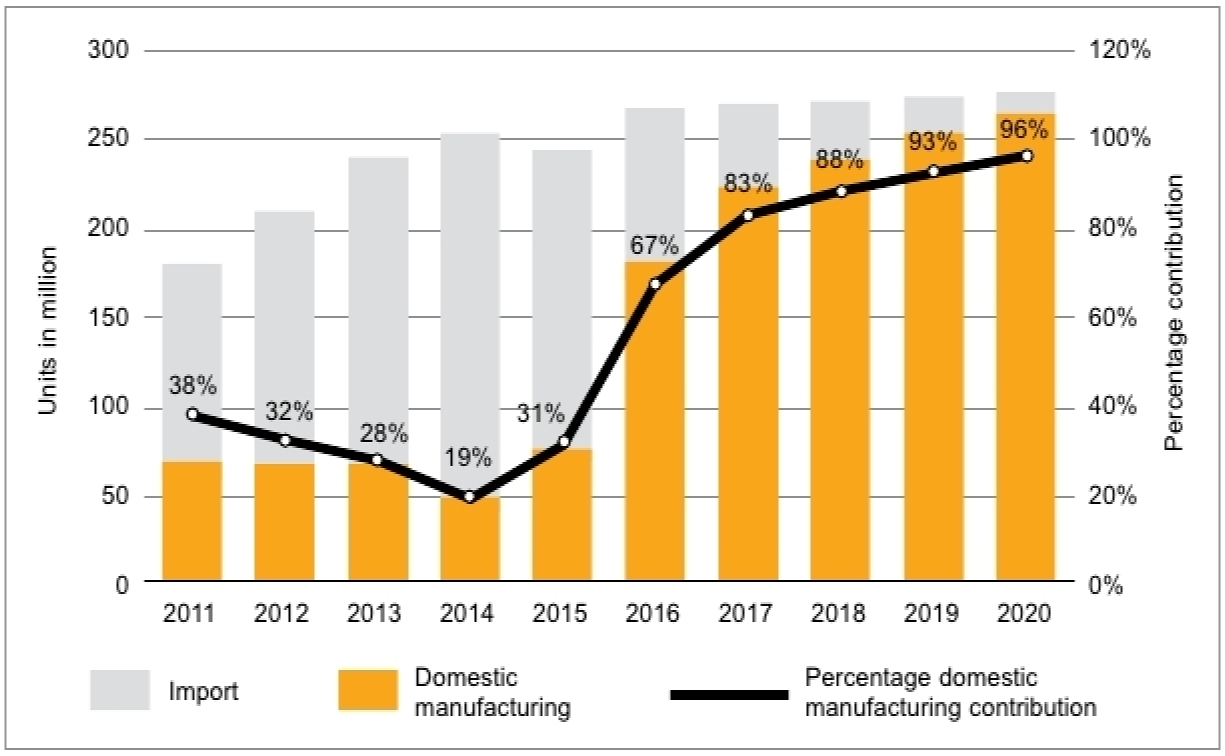

Fig. 1: The changing cellphone buying pattern in India: locally manufactured versus imports (Source: IIM-B and Counterpoint Research)

Opportunities galore

According to Indian Cellular & Electronics Association (ICEA), manufacturing of cellphones in India has grown in the past few years as total production of cellular mobile handsets in volume terms reached 225 million units in 2017-18, as compared to production of sixty million units in 2014-15. This increase in volume gives a fair idea about the mobile manufacturing industry in India.

As per ICEA, the total worth of mobiles made in India was recorded at twenty billion dollars in 2017. The industry is mainly focused on making cellphones for domestic consumption. Out of the total worth in 2017, only a small part of manufactured mobiles in India was exported, which was hundred million dollars.

Reportedly, the potential of mobile devices manufacturing in the country is expected to grow, and is expected to be at US$ 230 billion by 2025. It